

GREEN LAWNS, INC.
ADJUSTED TRIAL BALANCE
DECEMBER 31, CURRENT YEAR

Cash	\$ 218,640	
Accounts receivable	10,800	
Supplies	720	
Equipment	28,800	
Accumulated depreciation: equipment		\$ 12,000
Accounts payable		3,600
Income taxes payable		8,400
Capital stock		60,000
Retained earnings		108,000
Dividends	4,800	
Lawn care revenue earned		230,400
Salary expense	124,800	
Supply expense	2,880	
Advertising expense	720	
Depreciation expense: equipment	2,400	
Income taxes expense	27,840	
	<u>\$ 422,400</u>	<u>\$422,400</u>

- Prepare an income statement and statement of retained earnings for the year ended December 31, current year. Also prepare the company's balance sheet dated December 31, current year.
- Does the company appear to be liquid? Defend your answer.
- Has the company been profitable in the past? Explain.

L05-1, L05-2, L05-6**EXERCISE 5.3**Financial Statement
Preparation

Wilderness Guide Services, Inc., performs adjusting entries every month, but closes its accounts only at year-end. The company's year-end adjusted trial balance dated December 31, current year, is as follows.

WILDERNESS GUIDE SERVICES, INC.
ADJUSTED TRIAL BALANCE
DECEMBER 31, CURRENT YEAR

Cash	\$ 12,200	
Accounts receivable	31,000	
Camping supplies	7,900	
Unexpired insurance policies	2,400	
Equipment	70,000	
Accumulated depreciation: equipment		\$ 60,000
Notes payable (due 4/1/next year)		18,000
Accounts payable		9,500
Capital stock		25,000
Retained earnings		15,000
Dividends	1,000	
Guide revenue earned		102,000
Salary expense	87,500	
Camping supply expense	1,200	
Insurance expense	9,600	
Depreciation expense: equipment	5,000	
Interest expense	1,700	
	<u>\$229,500</u>	<u>\$229,500</u>

- Prepare an income statement and statement of retained earnings for the year ended December 31, current year. Also prepare the company's balance sheet dated December 31, current year. (Hint: Unprofitable companies have no income taxes expense.)
- Does the company appear to be liquid? Defend your answer.
- Has the company been profitable in the past? Explain.

L05-2, L05-4, L05-5**EXERCISE 5.4**

Preparing Closing Entries
and an After-Closing Trial
Balance

Refer to the adjusted trial balance of Green Lawns, Inc., illustrated in Exercise 5.2 to respond to the following items.

- Prepare all necessary closing entries at December 31, current year.
- Prepare an after-closing trial balance dated December 31, current year.
- Compare the Retained Earnings balance reported in the after-closing trial balance prepared in part **b** to the balance reported in the adjusted trial balance. Explain why the two balances are different. (Include in your explanation why the balance reported in the after-closing trial balance has increased or decreased subsequent to the closing process.)

L05-2, L05-4, L05-5**EXERCISE 5.5**

Preparing Closing Entries
and an After-Closing Trial
Balance

Refer to the adjusted trial balance of Wilderness Guide Services, Inc., illustrated in Exercise 5.3 to respond to the following items.

- Prepare all necessary closing entries at December 31, current year.
- Prepare an after-closing trial balance dated December 31, current year.
- Compare the Retained Earnings balance reported in the after-closing trial balance prepared in part **b** to the balance reported in the adjusted trial balance. Explain why the two balances are different. (Include in your explanation why the balance reported in the after-closing trial balance has increased or decreased subsequent to the closing process.)

L05-3**EXERCISE 5.6**

Adequate Disclosure

The following information was taken directly from the footnotes to the financial statements of **Best Buy**.

- "A gift card liability is initially established for the value of gift cards when they are sold. We recognize revenue from gift cards when the cards are redeemed by customers."
- "Advertising costs, which are included in SG&A, are expensed when the advertisement is customer-facing."
- "We compute depreciation using the straight-line method over the estimated useful lives of the assets."
 - Discuss what is meant by each of the above footnote items.
 - As noted, Best Buy establishes a liability to record the sale of gift cards. Assume that you purchase a \$100 gift card from Best Buy as a birthday present for a friend. Prepare the journal entries made by Best Buy to record (1) your purchase of the gift card and (2) the use of the gift card by your friend to purchase a \$100 set of headphones.
 - Discuss how the matching principle relates to Best Buy's treatment of advertising expense.

Fick Psychological Services, Inc., closes its temporary accounts once each year on December 31. The company recently issued the following income statement as part of its annual report.

FICK PSYCHOLOGICAL SERVICES, INC.
INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, CURRENT YEAR

Revenue:	
Counseling revenue	\$350,000
Expenses:	
Advertising expense	\$ 6,000
Salaries expense	180,000
Office supplies expense	2,000
Utilities expense	3,000
Malpractice insurance expense	9,000
Office rent expense	42,000
Continuing education expense	5,000
Depreciation expense: fixtures	8,000
Miscellaneous expense	4,000
Income taxes expense	36,000
Net income	295,000 \$ 55,000

Fick's statement of retained earnings indicates that a \$15,000 cash dividend was declared and paid during the current year.

- Prepare the necessary closing entries on December 31 of the current year.
- If Fick's Retained Earnings account had a \$600,000 balance on at the beginning of the current year, at what amount should Retained Earnings be reported in the firm's year-end balance sheet dated December 31?

L05-2, L05-4**EXERCISE 5.7**

Closing Entries of a
Profitable Company

L05-2, L05-4**EXERCISE 5.8**

Closing Entries of an
Unprofitable Company

Undem Scientific provides research consulting services to both university and corporate clients. The company closes its temporary accounts once each year on December 31. It recently issued the following income statement as part of its annual report.

UNDEM SCIENTIFIC INCOME STATEMENT FOR THE YEAR ENDED DECEMBER 31, CURRENT YEAR	
Revenue:	
Consulting revenue—university clients	\$ 300,000
Consulting revenue—corporate clients	500,000
	<u>\$ 800,000</u>
Expenses:	
Advertising expense	\$ 44,000
Depreciation expense: computers and diagnostic equipment	152,000
Rent expense	60,000
Office supplies expense	4,000
Travel expense	200,000
Utilities expense	3,000
Telephone and Internet expense	2,000
Salaries expense	360,000
Interest expense	5,000
Net loss	<u><u>\$ (30,000)</u></u>

The firm's statement of retained earnings indicates that a \$10,000 cash dividend was declared and paid in the current year.

- Prepare the necessary closing entries on December 31, current year.
- If the firm's Retained Earnings account had a \$80,000 balance on January 1, current year, at what amount should Retained Earnings be reported in the firm's balance sheet dated December 31, current year?

L05-2, L05-4**EXERCISE 5.9**

Distinction between the
Adjusting and the Closing
Process

When Torretti Company began business on August 1, it purchased a one-year fire insurance policy and debited the entire cost of \$7,200 to Unexpired Insurance. Torretti adjusts its accounts at the end of each month and closes its books at the end of the year.

- Give the adjusting entry required at December 31 with respect to this insurance policy.
- Give the closing entry required at December 31 with respect to insurance expense. Assume that this policy is the only insurance policy Torretti had during the year.
- Compare the dollar amount appearing in the December 31 adjusting entry (part a) with that in the closing entry (part b). Are the dollar amounts the same? Why or why not? Explain.

A recent balance sheet of Save-A-Lot Supplies is provided as follows.

SAVE-A-LOT SUPPLIES BALANCE SHEET DECEMBER 31, CURRENT YEAR	
Assets	
Cash	\$16,320
Accounts receivable	17,280
Office supplies	720
Prepaid rent	4,080
Equipment	\$ 28,800
Accumulated depreciation: equipment	<u>(11,520)</u>
Total assets	<u>\$55,680</u>
Liabilities	
Accounts payable	\$ 5,280
Income taxes payable	<u>4,320</u>
Total liabilities	<u>\$ 9,600</u>
Stockholders' Equity	
Capital stock	\$24,000
Retained earnings	<u>22,080</u>
Total stockholders' equity	<u>\$46,080</u>
Total liabilities and stockholders' equity	<u>\$55,680</u>

L05-6**EXERCISE 5.10**

Measuring and Evaluating
Profitability and Liquidity